

MECALYS SA — Standard Operating Procedure

PROC-PUR-2025-11 · Procurement, Supplier Management and Inventory Policy

Version 3.2 · Effective date: 2025-11-03 · Owner: Supply Chain Direction · Classification: internal · Supersedes: PROC-PUR-2024-06

1 — Purpose and scope

This procedure defines the rules applicable to the procurement of production parts, the management of the approved supplier panel, and the inventory policy for the Mecalys manufacturing sites (Lyon, warehouse WH-LYON; Gdansk, warehouse WH-GDANSK). It applies to all purchased parts entering the bill of materials of the Vektor, Orion, Atlas and Pulsar product ranges.

2 — Definitions

Criticality class. Each purchased part is assigned a criticality class. Class A: parts whose shortage stops at least one production line within two weeks, or which require supplier-specific tooling or qualification. Class B: parts with significant sourcing constraints but available alternatives. Class C: commodity parts.

On-time delivery (OTD). The percentage of purchase-order lines delivered complete on or before the confirmed due date, measured over a rolling three-month window.

Non-conformity report (NCR). A quality record raised at incoming inspection or in production against a received batch, identifying the part, the supplier, the defect and the disposition.

4 — Sourcing rules

4.1 New parts shall be sourced from the approved supplier panel. Any addition to the panel requires a qualification audit and approval by the Supply Chain Direction.

4.2 Dual sourcing. Every class A part shall have at least two qualified sources. Single-sourcing of a class A part is permitted only under a written waiver signed by the Supply Chain Director, stating the mitigation plan. Waivers are valid for a maximum of twelve months and shall be reviewed every six months; an expired waiver constitutes a non-compliance and shall be escalated to the monthly industrial review.

4.3 For class B parts, dual sourcing is recommended; a single source is acceptable if the part's lead time does not exceed 60 days.

5 — Supplier performance management

5.1 Delivery performance. When a supplier's OTD falls below 85% over the rolling three-month window, the supplier shall be placed under a formal corrective action plan (CAP) within 15 working days of the measurement. The CAP shall state dated milestones and a completion deadline. If the completion deadline lapses without closure of the actions, new order placement to the supplier shall be restricted to the minimum required to protect production, and an escalation shall be raised to the Supply Chain Director.

5.2 Supplier quality ratings are computed monthly on a 100-point scale from incoming inspection results, NCR history and audit findings.

5.3 Quality threshold. When a supplier's quality rating falls below 75 points, placement of new purchase orders to that supplier shall be suspended until a recovery plan is approved. Open orders may be maintained only with a documented risk acceptance signed by the Quality Director.

6 — Inventory policy

6.1 Safety stock. Safety stock levels shall cover six weeks of average consumption for class A parts and four weeks for class B parts. No safety stock is mandated for class C parts. Stock positions below the safety level shall be reviewed weekly by the material planners, with priority given to parts that also have overdue

purchase orders.

6.2 Cycle counts shall be performed so that every part is counted at least once per quarter.

7 — Non-conformity management

7.1 Every rejected batch shall be recorded as an NCR with a disposition among: return to supplier, scrap, rework, or use-as-is under concession.

7.2 Escalation threshold. When more than ten NCRs are recorded against the same part and supplier pair within a calendar quarter, a special process audit of the supplier shall be triggered within 30 days, focused on the affected manufacturing process.

8 — Records

Purchase orders, supplier ratings, stock positions and NCRs are maintained in the operations workbook and the quality incident register, which constitute the reference records for this procedure.